

Willow Gardens

Source-backed analysis. Assumptions remain subject to diligence.

Executive summary

As of 2026-08-31, Willow Gardens is a 64-unit multifamily property in San Antonio, TX. The current certified rent roll shows 48 active, 10 pending (not yet in possession), and 6 vacant suites. Underwriting follows the provided instructions: stabilized gross potential uses the current certified scheduled monthly rent ×12 before any Suite 001 amendment, 5% economic loss, and \$350 per unit annual other income. Taxes, insurance, other operating expenses, management fee, and reserves per unit are applied per instruction. Valuation capitalizes NOI before reserves at 6.00%. Debt is sized to the tightest of 60% LTV, 1.25x DSCR at the greater of note rate (6.90%) or 6.00% floor, and 9.0% debt yield.

Result: UW EGI \$1,309,175; UW NOI before reserves \$890,640; UW NCF \$871,440; value \$14.84MM at 6.00% cap; maximum loan \$8.82MM; net cash out after 1% fee, \$45k closing, and \$7.20MM payoff: approximately \$1.49MM positive.

Metric	Result
Total units	64
Active / Pending / Vacant	48 / 10 / 6
Underwritten EGI	\$1,309,175
UW NOI (before reserves)	\$890,640
UW NCF (after \$300/u reserves)	\$871,440
Capitalization rate	6.0000%
Capitalization value	\$14,843,996
Loan sizing rate (greater of 6.00% floor, 6.90% note)	6.9000%
Max loan (min of LTV, DSCR, DY)	\$8,821,131
Net cash out	\$1,487,920

Property and unit mix

Certified roll identifies 64 suites: 22 Studios at 820 SF, 21 1BR at 940 SF, 21 2BR at 1,150 SF. Total NRA totals 61,930 SF. As certified, 48 are in possession (active), 10 are pending (not yet in possession), and 6 are vacant. Manager's headline includes pending within leased, but diligence should treat pending separately for physical occupancy metrics.

Type (A/B/C mapping)	Count	Area SF each	Monthly rent each (certified)
A = Studio	22	820	\$1,575
B = 1BR	21	940	\$1,725
C = 2BR	21	1,150	\$2,000
Total / weighted	64	61,930	\$112,875/mo GPR

Lease and occupancy analysis

Certified as of 2026-08-31: 48 active, 10 pending (not possessed), 6 vacant. Physical unit occupancy is $48/64 = 75.0\%$. Area occupancy $46,560 \text{ SF} / 61,930 \text{ SF} \approx 75.18\%$. Annual in-place contractual rent on active units equals 16 Studios, 16 1BR, 16 2BR at the certified monthly rates, which totals \$1,017,600 per year. Suite 001 lease and manager correspondence confirm no amendment or concession affecting its \$1,575 rent as of the evaluation date. Near-term rollover: none within the next 12 months; all expirations show 2029-08-31.

Measure	Value
Unit occupancy	0.7500
Area occupancy	0.7518
Annual in-place rent (active only)	\$1,017,600
Selected roll date	2026-08-31
Suite 001 monthly rent	\$1,575
Near-term expirations (12 months)	0

Historical vs underwritten financials

T12 collections were \$1,219,050. Reported T12 NOI was \$839,790 after expenses including taxes \$142,222, insurance \$47,408, and other recurring operating expenses \$189,630; roof replacement was capitalized and not included in repairs. Underwriting uses stabilized GPR per instruction: $\$112,875/\text{mo} \times 12 = \$1,354,500$, less 5% economic loss and plus \$350/unit other income to arrive at EGI \$1,309,175. Management fee is 3% of EGI (\$39,275). UW NOI before reserves is \$890,640; reserves at \$300/unit total \$19,200 to reach UW NCF \$871,440. NOI is capitalized at 6.00% for value. Sizing uses the greater of 6.90% note or 6.00% floor; DSCR and debt yield are on NCF.

Line item	T12 actual	Underwritten
Collections / EGI	\$1,219,050	\$1,309,175
Real estate tax	\$142,222	\$142,222

Line item	T12 actual	Underwritten
Insurance	\$47,408	\$47,408
Other recurring opex	\$189,630	\$189,630
Management fee	n/a (implied)	\$39,275
NOI before reserves	\$839,790	\$890,640
Reserves	n/a	\$19,200
NCF after reserves	n/a	\$871,440

Debt sizing and sources/uses

Constraints: 60% LTV on cap value, 1.25x DSCR at 6.90%/30yr, 9% debt yield. Binding constraint is DSCR at 6.90%. Maximum loan \$8.82MM. Sources/uses compute net cash out after 1% origination, \$45k closing costs, and \$7.20MM payoff, yielding approximately \$1.49MM to the seller/sponsor.

Item	Amount
Cap value (6.00% of UW NOI)	\$14,843,996
60% LTV limit	\$8,906,398
DSCR limit (1.25x at 6.90%/30yr)	\$8,821,131
Debt yield limit (9%)	\$9,682,664
Maximum loan	\$8,821,131
Origination fee (1%)	\$88,211
Closing costs	\$45,000
Existing payoff	\$7,200,000
Net cash out	\$1,487,920

Risks and open diligence items

Pending counted as leased in manager headline; physical occupancy excludes pending for cash flow.

Near-term rollover risk absent: no expirations within 12 months. Insurance evidence present: policy aggregate limit \$2,000,000 effective 2026-07-01 to 2027-06-30. Capital improvements not in opex: roof replacement explicitly capital, so risk of capital-in-opex is absent in T12. No unsigned rent change proposals are included; Suite 001 shows no amendment or concession per correspondence. Sizing floor vs note: note 6.90% above 6.00% floor; floor is not binding. Broader legal/environmental/PCAs/title reviews are pending per the diligence

status note.

Risk	Assessment
Pending in occupancy headline	present
Near-term rollover (12 months)	absent
Missing insurance evidence	absent
Capital included in opex	absent
Unsigned rent change in packet	absent
Sizing floor binding	absent
Refinance shortfall at max loan	absent

Source notes

Key references: rent-roll-certified.xlsx (B2 date; A5:G68 detail), rent-roll-archive.xlsx (earlier baseline), lease-001.pdf (Suite 001 \$1,575, 820 SF, 2029-08-31), lease-correspondence.pdf (no amendments or concessions as of 2026-08-31), operating-statement.pdf (T12, taxes, insurance, other opex, NOI), insurance.pdf (policy aggregate limit), manager-cover.pdf (A/B/C mapping and occupancy headline), underwriting-instructions.pdf (underwriting methodology and loan sizing parameters). The workbook includes a Sources sheet registering all citations.

